

PAYTM × LIMINAL CUSTODY SOLUTIONS

PROJECT SATOSHI GATE

Board Transaction Recommendation

Strategic access today. Control only when the economics are proven.

TEAM ETERNAL

Raunak Jain

Sambhav Khandelwal

Surya Swarup

Naman Ghosh

Akshith Aitha

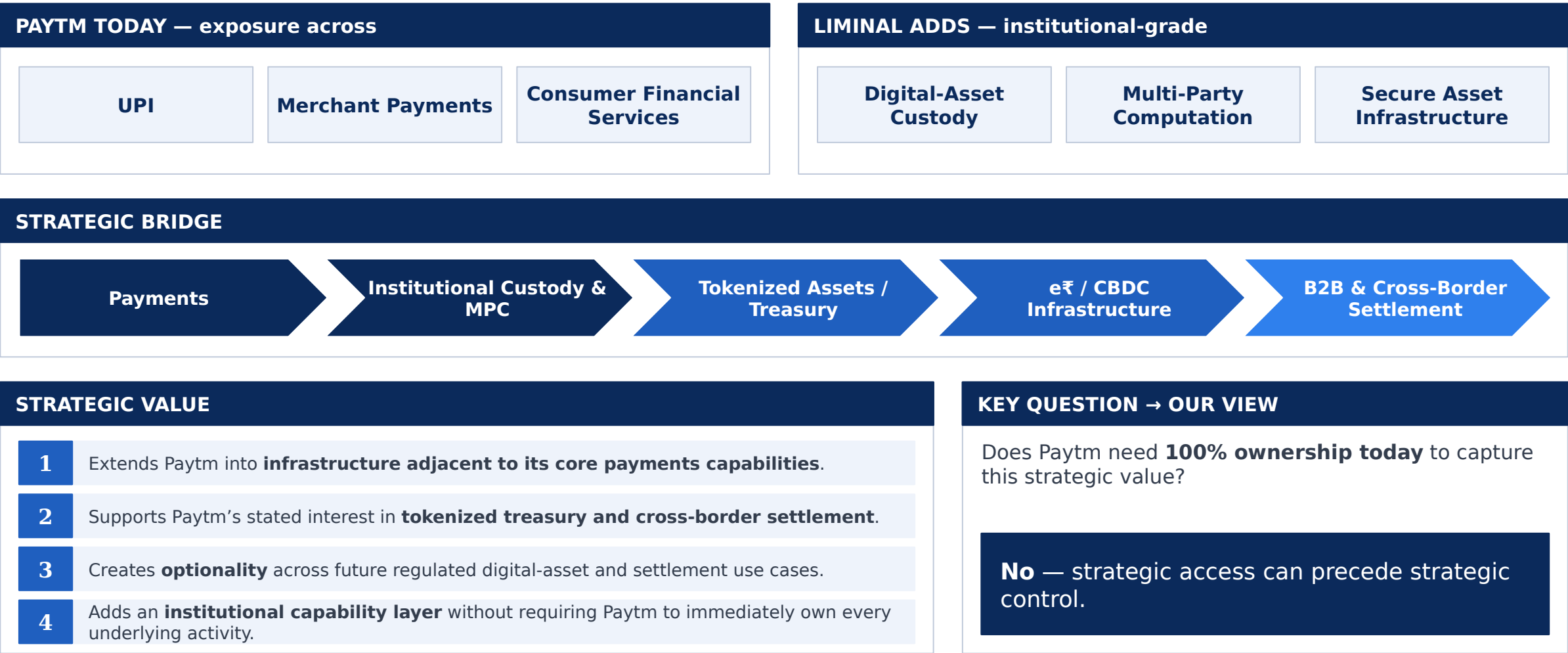
Board recommendation

Secure the capability — not the full-control risk

RECOMMENDATION	WHY THIS STRUCTURE
Do not acquire 100% of Liminal today. Pursue a 20–30% strategic minority investment, anchored at 25% as a midpoint team assumption, combined with: Commercial custody/MPC partnership Standalone governance Pre-agreed call option for future control Retention- and performance-linked future consideration	• Strategic fit is real: Liminal provides institutional custody and MPC infrastructure relevant to tokenized assets, e₹/CBDC infrastructure and cross-border settlement. • Full control creates value leakage: the case assumes 30–45% ARR churn within 12 months after a full acquisition. • Regulatory economics are severe: full ownership creates an assumed ₹750 Cr recurring annual FCF drag. • Near-term earnings support is limited: Liminal is currently approximately PAT breakeven. • Staging preserves optionality: Paytm secures strategic access while delaying irreversible control until customer and regulatory outcomes are observable.
BOARD ASK	
INVEST VALIDATE EXERCISE / HOLD / WALK AWAY Exercise control only after clearing all six gates: Client Retention Regulatory Capital Valuation PAT FCF Compliance	

Strategic rationale

Liminal can extend Paytm from payments into institutional digital settlement infrastructure



The ownership paradox

Full ownership risks impairing the very asset Paytm is paying to acquire

₹4,000 Cr FULL ACQUISITION CREATES FOUR IMMEDIATE PRESSURES

1. CUSTOMER CONFLICT	2. REGULATORY CAPITAL	3. FINANCIAL PRESSURE	4. VALUATION PRESSURE
Liminal’s major institutional clients may resist having their custody provider owned by a competing payments platform.	Full ownership is assumed to trigger bank-like reserves against custodied assets.	Liminal is currently approximately PAT breakeven.	Paytm pays ₹4,000 Cr ÷ ₹220 Cr ARR = 18.2× headline ARR before accounting for acquisition-driven churn.
CASE ASSUMPTION 30-45% ARR lost within 12 months	CASE ASSUMPTION ₹750 Cr recurring annual FCF drag	IMPLICATION Limited acquired earnings initially offset new-share dilution or financing costs.	MULTIPLE 18.2× headline ARR, pre-churn
CORE DEAL PARADOX		BOARD IMPLICATION — separate the two questions	
Paytm wants Liminal for its institutional franchise — but taking control may weaken that franchise.		Strategic attractiveness of Liminal	Economic attractiveness of owning 100% today

Strategic options

Four paths — assessed on strategic access, control, downside and reversibility

	FULL ACQUISITION	MINORITY STAKE	JOINT VENTURE	WALK AWAY
Strategic access	High	High through partnership	High within JV scope	Low
Control	Full	Limited	Shared	None
Full-control churn exposure	30–45% case assumption	Not specified — validate	Not specified — validate	None
₹750 Cr capital treatment	Case assumes applicable	Not specified — validate	Not specified — validate	None
Upfront commitment	Highest	Lower	Structure-dependent	Nil
Reversibility	Low	High	Medium	High
Future-control optionality	Already exercised	Can be preserved	Can be negotiated	Lost unless partnership retained

CONCLUSION

Minority + partnership + call option is the strongest starting structure because it defers the two largest unresolved risks:

Customer response

Regulatory capital treatment

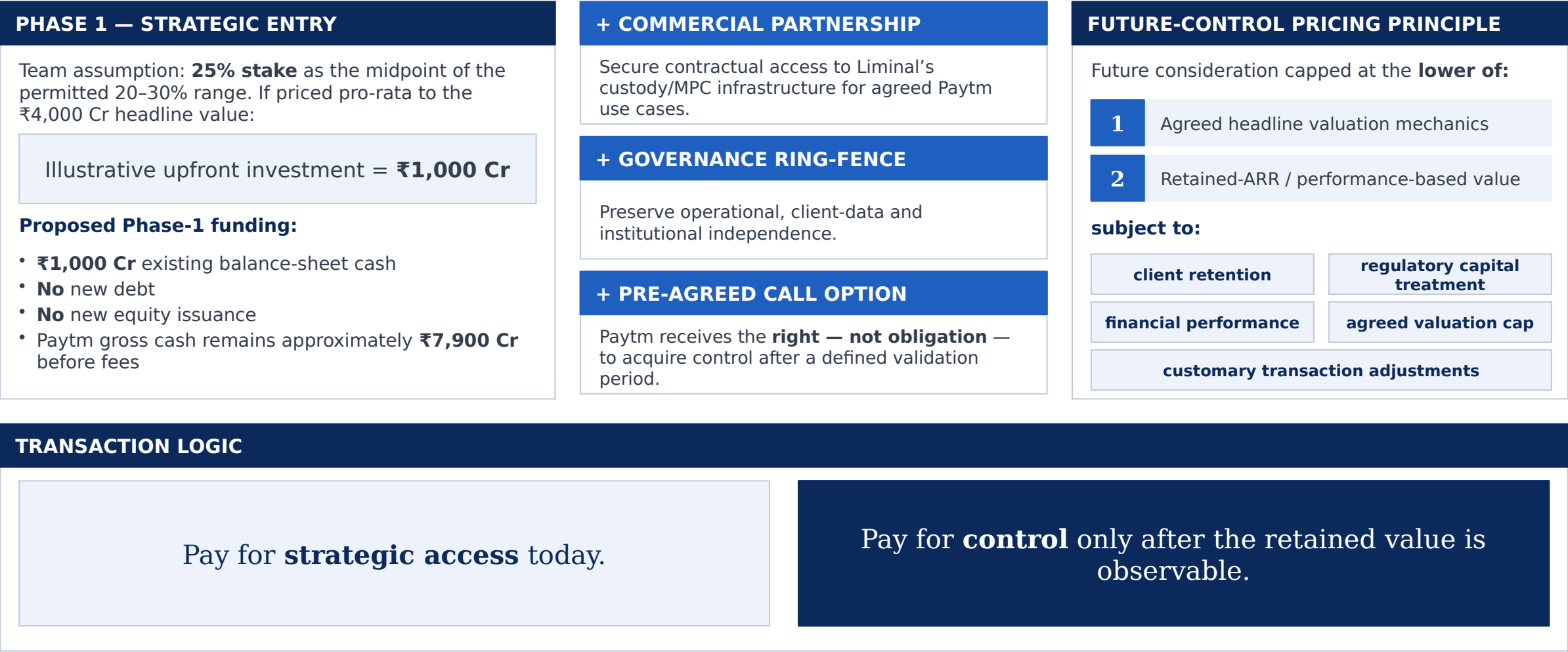
DISCIPLINE

We do **not** assume minority ownership automatically eliminates churn or the ₹750 Cr capital requirement.

These become **validation gates**.

Recommended transaction architecture

Buy optionality first — pay for control only after uncertainty reduces



Case facts vs team assumptions

Keep the model auditable: separate facts, calculations and assumptions

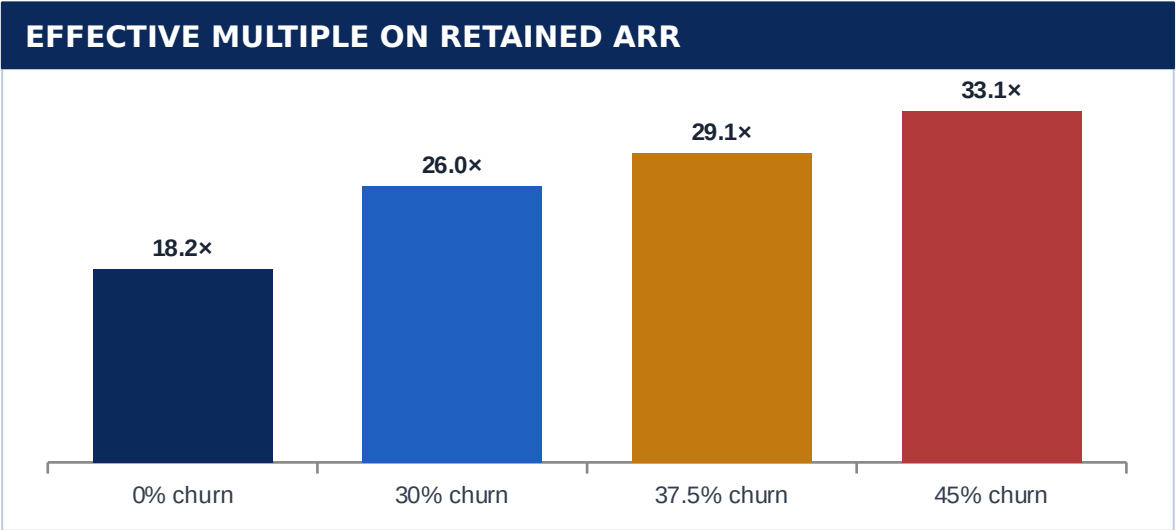
CASE FACTS — PAYTM		CASE FACTS — LIMINAL / DEAL		TEAM ASSUMPTIONS	
Metric	Value	Metric	Value	- Initial ownership: 25% midpoint - Indicative minority investment: ₹1,000 Cr pro-rata - Initial funding: existing cash - Validation period - Minority/JV churn - Minority/JV regulatory capital treatment - Liminal ARR growth - EBITDA / PAT / FCF margins - Debt cost and tax rate - WACC / required return - Integration costs - Synergies - MDR-to-PAT / FCF conversion - Call-option mechanics - Future-control valuation methodology	
Market capitalization	₹1,18,750 Cr	Headline acquisition value	₹4,000 Cr		
Diluted shares	64 Cr	Headline consideration	₹2,100 Cr cash + ₹1,900 Cr equity		
Cash	₹8,900 Cr	ARR	₹220 Cr		
Gross debt	₹350 Cr	Current PAT	~ breakeven		
Revenue	₹8,450 Cr	Four largest clients	60% of ARR		
EBITDA	₹640 Cr	Full-acquisition churn	30-45%		
PAT	₹480 Cr	Full-control capital drag	₹750 Cr annual FCF		
Diluted EPS	₹7.50	UPI MDR benefit to Paytm	₹115 Cr/year incremental net revenue		
Credit rating	CRISIL AA– Stable				

MODELING PRINCIPLE: CASE FACT ≠ DERIVED CALCULATION ≠ TEAM ASSUMPTION Every material assumption must be **disclosed and sensitivity-tested.**

Valuation & churn

18.2x headline ARR becomes 26–33x on retained ARR under full-control churn

HEADLINE VALUATION · ₹4,000 Cr ÷ ₹220 Cr ARR = 18.2x ARR			
Full-control churn	ARR lost	Retained ARR	₹4,000 Cr / Retained ARR
0%	₹0 Cr	₹220 Cr	18.2x
30%	₹66 Cr	₹154 Cr	26.0x
37.5%	₹82.5 Cr	₹137.5 Cr	29.1x
45%	₹99 Cr	₹121 Cr	33.1x



VALUE AT THE ORIGINAL 18.2x MULTIPLE		
Churn	Retained ARR	Implied value
30%	₹154 Cr	~₹2,800 Cr
37.5%	₹137.5 Cr	~₹2,500 Cr
45%	₹121 Cr	~₹2,200 Cr

REVENUE RECOVERY HURDLE	
+42.9% growth required after 30% churn : ₹154 Cr → ₹220 Cr	+81.8% growth required after 45% churn : ₹121 Cr → ₹220 Cr
...just to <i>recover the original ARR base</i> .	

STRUCTURING RESPONSE	
Deferred Consideration	Earn-Out
CVR	Retention-Linked Payout
KEY MESSAGE: Do not pay ₹4,000 Cr unconditionally for revenue that may disappear because of the acquisition itself.	

Financing & EPS impact

Stage the capital commitment to protect liquidity, leverage and dilution

<

PAT & FCF breakeven

The deal must clear two separate hurdles: accounting accretion and cash-flow viability

1. ACCOUNTING / PAT TEST Incremental PAT = Liminal PAT + Realized operating synergies – Financing costs – Integration / operating costs – Other incremental expenses Pro-Forma EPS = Pro-Forma PAT ÷ Diluted Shares	2. CASH / FCF TEST Incremental FCF = Liminal FCF + Realized cash synergies + Applicable MDR cash contribution – ₹750 Cr capital drag – Integration / other cash costs Starting position: Liminal ≈ PAT breakeven → limited acquired earnings to offset dilution or financing costs	CRITICAL DISTINCTION — THE ₹115 Cr UPI MDR The ₹115 Cr UPI MDR benefit is incremental Paytm net revenue. It is: • not automatically ₹115 Cr PAT • not automatically ₹115 Cr FCF • not created by acquiring Liminal Treatment: model it separately as a Paytm standalone corporate benefit / offset, using an explicit revenue-to-PAT / FCF conversion assumption.
---	--	---

WHAT THE CASE DOES NOT PROVIDE FOR LIMINAL FCF margins capex working capital growth financing costs Therefore, a specific breakeven year must be assumption-driven and sensitivity-tested.	CONTROL-EXERCISE RULE Do not exercise control until the model demonstrates: credible PAT / EPS breakeven + credible FCF breakeven after regulatory capital requirements
---	--

Customer retention & governance

Protect the institutional franchise through structural independence

60%

• HDFC Bank

• Axis Bank

• CoinDCX

• ZebPay

= 60% of Liminal ARR

= ₹132 Cr of ₹220 Cr

Full-control churn assumption

₹66-99 Cr ARR lost

equivalent to approximately 50-75% of the ARR represented by the four largest relationships

CORE MESSAGE:

Governance is not cosmetic — it is a valuation-protection mechanism.

#	Mechanism	What it does
1	Standalone Liminal brand	Preserve institutional neutrality.
2	Arm’s-length board	Independent directors + clearly defined reserved matters.
3	Strict information barriers	No unrestricted Paytm access to client-sensitive custody or transaction data.
4	Independent compliance & cybersecurity oversight	Separate monitoring, escalation and reporting.
5	Neutral service standards	No preferential treatment for Paytm-linked activity.
6	Client-protection framework	Structured communication, consent and change-of-control management.
7	Retention-linked consideration	Align seller economics with preservation of the institutional franchise.

Regulatory & closing architecture

Resolve regulatory capital treatment before committing to control



MOST IMPORTANT UNRESOLVED QUESTION

Does minority ownership **avoid, reduce or still trigger** the ₹750 Cr capital requirement?

The case does not specify the answer.

HARD DECISION GATE

Do **not** exercise full control until regulatory capital treatment is **known and incorporated into the FCF model**.

Competitive & downside response

Strategic urgency must not become a winner's curse

PHONEPE-MASTERCARD THREAT

The exploratory consortium creates a **strategic opportunity cost** if Paytm walks away. However, the case provides:

- no competing valuation
- no competing transaction terms
- no quantified bidder synergies
- no certainty of completion

PAYTM RESPONSE

Do not automatically match a higher bid.

Set a risk-adjusted reservation value based on:

retained ARR

capital treatment

client retention

financing impact

PAT / FCF economics

strategic optionality

If another bidder exceeds Paytm's reservation value: **walk away** rather than destroy shareholder value.

BOARD PRINCIPLE

Competitive pressure may change **timing** — it should **not** change valuation discipline.

Downside Playbook	
Trigger	Response
Churn > 45%	Do not exercise control / activate price protection / reassess partnership.
Capital requirement unacceptable	Remain minority / restructure / exit.
Key clients resist	Strengthen ring-fence; no control exercise without acceptable retention.
Paytm share price compresses	Avoid fixed-value equity issuance that creates excessive dilution.
PAT / FCF case fails	Do not escalate capital because of sunk cost.
Regulatory / security conditions fail	Suspend exercise / terminate where contractual rights permit.

Implementation roadmap & decision gates

Invest → Validate → Exercise / Hold / Walk Away



FINAL BOARD MESSAGE

Paytm should not pay today for risks it can observe tomorrow. Secure Liminal’s strategic infrastructure through a **minority investment and commercial partnership**. Preserve the **right — not obligation** — to acquire control. Commit the remaining capital only after **client trust, regulatory capital treatment, valuation and cash-flow economics are proven**. **Strategic access now. Control only when value is protected.**

Appendix A1-A2

Transaction model key inputs · Churn sensitivity

A1 · PAYTM	
Input	Value
Market capitalization	₹1,18,750 Cr
Diluted shares	64 Cr
Cash	₹8,900 Cr
Gross debt	₹350 Cr
Revenue	₹8,450 Cr
EBITDA	₹640 Cr
PAT	₹480 Cr
EPS	₹7.50
Rating	CRISIL AA—Stable

A1 · LIMINAL & RISKS	
Input	Value
Headline value	₹4,000 Cr
ARR	₹220 Cr
Headline multiple	18.2× ARR
Current PAT	~ breakeven
Top-four-client concentration	60%
ARR churn (full control)	30–45%
Capital FCF drag (full control)	₹750 Cr/year
PAYTM CORPORATE OFFSET UPI MDR: ₹115 Cr/year incremental net revenue. Not a Liminal transaction synergy.	

A2 · CHURN SENSITIVITY			
Churn	ARR lost	Retained ARR	Effective multiple
0%	₹0 Cr	₹220 Cr	18.2×
30%	₹66 Cr	₹154 Cr	26.0×
37.5%	₹82.5 Cr	₹137.5 Cr	29.1×
45%	₹99 Cr	₹121 Cr	33.1×

RECOVERY HURDLE

+42.9%

30% churn: ₹154 Cr → ₹220 Cr

+81.8%

45% churn: ₹121 Cr → ₹220 Cr

Growth required *merely to recover the original ARR base.*

Appendix A3-A4

Retention-linked value framework · EPS / dilution bridge

A3 · RETENTION-LINKED VALUE — at the original 18.2× ARR multiple

Churn	Retained ARR	Implied value	Value gap vs ₹4,000 Cr
0%	₹220 Cr	₹4,000 Cr	—
30%	₹154 Cr	~₹2,800 Cr	~₹1,200 Cr
37.5%	₹137.5 Cr	~₹2,500 Cr	~₹1,500 Cr
45%	₹121 Cr	~₹2,200 Cr	~₹1,800 Cr

STRUCTURING PRINCIPLE

Upfront consideration = strategic access

Contingent consideration = retained economic value

Future-control price should remain subject to:

valuation cap

retained ARR

performance

regulatory outcome

A4 · EPS / DILUTION BRIDGE — full-acquisition illustration	
Step	Value
Implied Paytm share price: ₹1,18,750 Cr ÷ 64 Cr	≈ ₹1,855
₹1,900 Cr equity consideration	≈ 1.02 Cr new shares
Pro-forma diluted shares	≈ 65.02 Cr
EPS, assuming PAT remains ₹480 Cr	≈ ₹7.38
Baseline EPS	₹7.50
Approximate mechanical dilution	~1.6%
...before:	
financing expense	acquired earnings
synergies	
integration costs	other transaction effects

Appendix A5

PAT vs FCF breakeven

ACCOUNTING / PAT	CASH / FCF
Component Liminal PAT + Synergies – Financing costs – Integration / operating costs = Incremental PAT ↓ Pro-Forma EPS	Component Liminal FCF + Cash synergies + Applicable MDR cash contribution – ₹750 Cr capital drag – Integration cash costs = Incremental FCF

KEY RULE

PAT breakeven ≠ FCF breakeven. Both must be demonstrated **independently** before exercising full control.

Appendix A6-A7

Risk register & mitigants · Board decision tree

A6 · RISK REGISTER & MITIGANTS	
Risk	Transaction response
30-45% full-control churn	Minority first + retention-linked consideration
60% top-client concentration	Standalone governance + client protections
₹750 Cr annual capital drag	Regulatory gate before control
18.2× headline valuation	Retained-value pricing + valuation cap
Immediate equity dilution	Stage consideration; avoid Phase-1 issuance
Rating / leverage pressure	No Phase-1 debt; reassess at control exercise
PhonePe-Mastercard counterbid	Reservation value + walk-away discipline
Paytm stock compression	Avoid excessive fixed-value equity dilution
AML / data / cyber risk	Independent compliance + information barriers
>45% churn	No control exercise / remediation / unwind
Regulatory deterioration	Condition precedent / termination protection
Weak PAT / FCF economics	Do not escalate capital

A7 · BOARD DECISION TREE	
STEP 1	Is Liminal strategically valuable to Paytm? YES ↓
STEP 2	Can Paytm secure strategic access without immediate full control? YES — Minority + Commercial Partnership ↓
STEP 3	Are client retention and regulatory capital outcomes acceptable after validation? YES → Test valuation + PAT + FCF economics NO → Hold minority / restructure / exit
STEP 4	Does full control clear Paytm’s risk-adjusted financial and governance hurdles? YES → Exercise call option NO → Do not acquire control
END STATE: Control becomes an earned option — not a day-one commitment.	